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FIRST PRE-BOARD EXAM. (2024-2025)**SUBJECT : ECONOMICS****CLASS XII**

Time : 3 Hours

Maximum Marks : 80

GENERAL INSTRUCTIONS :

- This question paper contains two sections :
 - Section A – Macro Economics
 - Section B – Indian Economic Development
- This paper contains 20 Multiple Choice Questions type questions of 1 mark each.
- This paper contains 4 Short Answer Questions type questions of 3 marks each to be answered in 60 to 80 words.
- This paper contains 6 Short Answer Questions type questions of 4 marks each to be answered in 80 to 100 words.
- This paper contains 4 Long Answer Questions type questions of 6 marks each to be answered in 100 to 150 words.

Section A – Macro Economics		
1	Which of the following statement is correct with respect to the correction of excess demand? a) Government reduces the taxes b) Government reduces its expenditure. c) The central bank reduces bank rates d) The central bank buys securities from the open market.	1
2	Read the following statements: Assertion (A) and Reason (R). Choose the correct alternative from those given below. Assertion (A): Full employment mean zero unemployment. Reason (R): even in the situation of full employment natural rate of unemployment always exist in the economy. Alternatives : a) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).	1

	b) Both Assertion (A) and Reason (R) are true, but Reason (R) is not the explanation of Assertion (A). c) Assertion (A) is true, but Reason (R) is false. d) Assertion (A) is false, but Reason (R) is true.	
3	In the web of financial interactions, when individuals harmoniously enter into agreements to honor the repayment of a loan at a designated point in the future, they are engaging in which pivotal function of money : a) a safe place to keep the wealth b) a tool that helps to compare the value of different things c) a bridge between people who want to buy things and people who want to sell things d) a steady foundation that helps to agree on how to settle debts or loans at a later time	1
4	Free distribution of LPG connection to poor people is a sign of social justice. Identify the Objective of Government Budget from the above-mentioned statement. (Choose the correct alternative) a) promote economic growth b) management of public enterprises c) create equitable distribution of income d) create fluctuation in revenue of the government.	1
5	Read the following statements carefully: Statement 1 : Government budget is a detailed economic statement presented by Finance Minister. Statement 2 : Government Budget consists of financial programmes and policies of the government for the next year. In light of the given statements, choose the correct alternative from the following: a) Statement 1 is true and Statement 2 is false. b) Statement 1 is false and Statement 2 is true. c) Both Statements 1 and 2 are true. d) Both Statements 1 and 2 are false.	1
6	Find the missing figures and choose the correct alternative:	1

	<table><tr><td>Round</td><td>Deposits</td><td>Loans (80%)</td><td>Reserve Ratio (20%)</td></tr><tr><td>I</td><td>1000</td><td>800</td><td>200</td></tr><tr><td>II</td><td>800</td><td>----i----</td><td>160</td></tr><tr><td>III</td><td>-----</td><td>-----</td><td>-----</td></tr><tr><td>IV</td><td>-----</td><td>-----</td><td>-----</td></tr><tr><td>Total</td><td>----- (ii) --</td><td>-- (iii) --</td><td>--- (iv) --</td></tr></table> Alternatives: a) 640,1000,4000,5000 b) 960,5000,4000,1000 c) 640,4000,1000,5000 d) 640,5000,4000,1000	Round	Deposits	Loans (80%)	Reserve Ratio (20%)	I	1000	800	200	II	800	----i----	160	III	-----	-----	-----	IV	-----	-----	-----	Total	----- (ii) --	-- (iii) --	--- (iv) --							
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7	Find the missing figures and choose the correct alternatives. <table><tr><td>S. No.</td><td>Items</td><td>Amount (₹ in crore)</td></tr><tr><td>I</td><td>Net National Product at factor cost</td><td>3800</td></tr><tr><td>II</td><td>Wages and Salaries</td><td>2000</td></tr><tr><td>III</td><td>Rent and Interest</td><td>...i.....</td></tr><tr><td>IV</td><td>Corporate tax</td><td>500</td></tr><tr><td>V</td><td>Undistributed Profit</td><td>300</td></tr><tr><td>VI</td><td>Dividend</td><td>200</td></tr><tr><td>VII</td><td>Depreciation</td><td>150</td></tr><tr><td>VIII</td><td>Net factor income from abroad</td><td>(-)50</td></tr><tr><td>IX</td><td>Gross national product at factor cost</td><td>...ii.....</td></tr></table> a) 750,4000 b) 800,4000 c) 850,3950 d) 750,3950	S. No.	Items	Amount (₹ in crore)	I	Net National Product at factor cost	3800	II	Wages and Salaries	2000	III	Rent and Interest	...i.....	IV	Corporate tax	500	V	Undistributed Profit	300	VI	Dividend	200	VII	Depreciation	150	VIII	Net factor income from abroad	(-)50	IX	Gross national product at factor cost	...ii.....	1
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8	Which of the following best defines 'Unilateral Transfers' in the context of international transactions? a) Funds transferred internationally as loans for a specified tenure and interest rate. b) Trade transactions involving goods and services between two countries. c) Payments made by one party without expecting any return in the future.	1																														

	d) Investments made by a country in the stock market of another country	
9	Two friends Mira and Sindhu were discussing the exchange rate systems. ‘Under this system, the exchange rate is determined by the market forces of demand and supply. However, deliberate efforts are made by competent authority to keep the exchange rates within the specific range.’ The above-mentioned statement was given by Sindhu, identify the type of exchange rate system was she talking about. a) Fixed exchange rate b) Floating exchange rate c) Managed floating exchange rate d) Managed fixed exchange rate	1
10	Which of the following will lead to an appreciation on domestic currency? P: Increased demand for foreign exchange. Q: Decreased demand for foreign exchange R: Increased supply of foreign exchange S: decreased supply of foreign exchange a) P and R b) P and S c) Q and R d) Q and S	1
11	Suppose in a hypothetical economy there are only two Firms A and B, Firm A sold goods for ₹ 2,000 to Firm B and purchased goods for ₹ 1,000. Firm B exported goods for ₹ 2,500 and had domestic sales of ₹ 1,500. Calculate Net Domestic Product at market price, if consumption of fixed capital is ₹ 200. Or “Machine purchased by a firm is always a capital good.” Do you agree with the given statement? Give valid reasons for your answer.	
12	Elucidate the distinction between Autonomous Items and Accommodating Items concerning a nation's Balance of Payments. Give examples to demonstrate country's international economic interactions.	3

13	Answer the following question. 2+2 a."National highway is a private good because it is funded by taxes." Defend or refute the given statement with valid arguments. b. Utilizing the provided data, compute Revenue Deficit and Primary Deficit: <table><tr><td>S.No</td><td>Given Data</td><td>(in crore)</td></tr><tr><td>1.</td><td>Revenue expenditure</td><td>80,350</td></tr><tr><td>2.</td><td>Capital expenditure</td><td>92,000</td></tr><tr><td>3.</td><td>Interest payments</td><td>18,000</td></tr><tr><td>4.</td><td>Revenue receipts</td><td>63,875</td></tr><tr><td>5.</td><td>Borrowings</td><td>59,640</td></tr><tr><td>6.</td><td>Capital receipts</td><td>74000</td></tr></table>	S.No	Given Data	(in crore)	1.	Revenue expenditure	80,350	2.	Capital expenditure	92,000	3.	Interest payments	18,000	4.	Revenue receipts	63,875	5.	Borrowings	59,640	6.	Capital receipts	74000	
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14	Elaborate the ‘Banker’s Bank and Supervisor’ function performed by the Reserve Bank of India.	4																					
15	“If actual demand for final goods falls short of the actual output of final goods corresponding to full employment level, it may lead to an unintended accumulation of inventories." Do you agree with the given statement? Give valid reasons in support of your answer. OR Complete the following table. Construct the Consumption function at ₹ 200 crore level of income. <table><tr><td>Income (Y) (in ₹ Crore)</td><td>Savings (in ₹ Crore)</td><td>Average Propensity to Consume (APC)</td><td>Average Propensity to Consume (APC)</td></tr><tr><td>0</td><td>-50</td><td>_____</td><td>_____</td></tr><tr><td>100</td><td>.....</td><td>1</td><td>.....</td></tr><tr><td>200</td><td>.....</td><td>$\frac{3}{4}$</td><td>.....</td></tr><tr><td>300</td><td>.....</td><td>$\frac{2}{3}$</td><td>.....</td></tr></table>	Income (Y) (in ₹ Crore)	Savings (in ₹ Crore)	Average Propensity to Consume (APC)	Average Propensity to Consume (APC)	0	-50	_____	_____	100		1		200		$\frac{3}{4}$		300		$\frac{2}{3}$		4	
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16	What is effective demand principle? Discuss with the help of an imaginary numerical example. Or Giving reason state whether the following statements are true or false : i. Average propensity to save can not be negative. ii. Value of marginal propensity to consume can be greater than 1. iii. Average propensity to consume can be greater than 1.	6
17	Answer the following question. 2+4 a. In the given picture, the distribution of GDP is uniform. Do you agree with the given statement? Give valid reason in support of your answer. b. In the Figure given above, the uppermost arrow, going from the households to the firms, represents the spending the households undertake to buy goods and services produced by the firms. The second arrow going from the firms to the households is the counterpart of the arrow above. It stands for the goods and services which are flowing from the firms to the households. In other words, this flow is what the households are getting from the firms, for which they are making the expenditures. In short, the	

	two arrows on the top represent the goods and services market – the arrow above represents the flow of payments for the goods and services, the arrow below represents the flow of goods and services. The two arrows at the bottom of the diagram similarly represent the factors of production market. The lower most arrow going from the households to the firms symbolises the services that the households are rendering to the firms. Using these services the firms are manufacturing the output. The arrow above this, going from the firms to the households, represents the payments made by the firms to the households for the services provided by the latter. On the basis of the given text and common understanding, answer the following questions: .What are the different factors of production? .Differentiate between factor market and goods & services market.	
	Section B Indian Economic Development	
18	Read the following statements carefully: Statement 1: Air India, a fully owned Public Sector Undertaking (PSU) was disinvested and sold to a private entity. Statement 2: : Public Sector Undertakings (PSU) are sold to create more direct and/or indirect employment opportunities in the country. In light of the given statements, choose the correct alternative from the following: a) Statement 1 is true and Statement 2 is false. b) Statement 1 is false and Statement 2 is true. c) Both Statements 1 and 2 are true. d) Both Statements 1 and 2 are false.	1
19	Identify the correct sequence of alternatives given in column B by matching them with respective terms/items given in Column A:	

	Column A	Column B	
	1. GST	A. Marked the removal of licence from a lot of industry	
	2. Liberalization	B. Merged all the different indirect taxes into one	
	3. Import substitution	C. Increase in the food production to make India self-reliant	
	4. Green revolution	D. Inward oriented policy	
	a) B, C, A, D b) B, A, C, D c) B, A, D, C d) B, C, D, A		
20	The overarching objective of equitable distribution goals in planning is to: a) ensure a fair and just society for all citizens b) foster competition by reducing government intervention in markets c) focus on short-term gains rather than long-term societal benefits d) enhance economic growth through targeted investments in specific sectors		1
21	Under the Great Leap Forward (GLF) campaign in China initiated in 1958, people were encouraged to set up industries in their backyards. Identify the primary goods these backyard industries would have produced. a) perishable food items b) small car parts c) plastic toys d) textiles OR Identify the developmental initiatives oriented by Pakistan during the 1970s and 80s that helped the country in stimulating economic growth a) A. agrarian reforms b) de-nationalisation		1

	c) import substitution d) investment in education and health											
22	Kavitha, a farmer in rural India, is a recipient of a government scheme named _____. This scheme helps her set up a bank account and provides insurance, overdraft and other social security benefits. a) Sansad Adarsh Gram Yojana b) Jan-Dhan Yojana c) Kudumbashree d) NABARD	1										
23	" In 1994, Maulik worked in an automotive manufacturing company owned by the government of India. It was soon to be disinvested and privatized by the government. As a result, Maulik planned for a job shift and explored other sectors that could guarantee him greater growth in the future." In light of the nation's political and economic situation at the time, which of the following professions would have fulfilled his expectations? a) mining b) tourismc c) textile industry d) information technology	1										
24	From the set of statements given in Column I and Column II, choose the correct pair of statements: <table><tr><th>Column I</th><th>Column II</th></tr><tr><td>A. Medium Term Development Plan</td><td>I China model of growth</td></tr><tr><td>B. . NITI Aayog</td><td>II Reforms in India</td></tr><tr><td>C. Command Economy</td><td>III Pakistan's Five-Year Plans</td></tr><tr><td>D. Economic Reform 1991</td><td>IV Planning commission is replaced</td></tr></table> (a) A-II, B-I, C-III, D-IV (b) A-III, B-IV, C-I, D-II (c) A-I, B-II, C-IV, D-III (d) A-IV, B-III C-II, D-I	Column I	Column II	A. Medium Term Development Plan	I China model of growth	B. . NITI Aayog	II Reforms in India	C. Command Economy	III Pakistan's Five-Year Plans	D. Economic Reform 1991	IV Planning commission is replaced	1
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25	Read the following statements carefully: Statement 1: Both India and China initiated industrial reforms with the creation of agricultural communes Statement 2: Both countries are primarily agrarian in nature with all sectors depending on the primary one. In light of the given statements, choose the correct alternative from the following:	1										

	a) Statement 1 is true and Statement 2 is false. b) Statement 1 is false and Statement 2 is true. c) Both Statements 1 and 2 are true. d) Both Statements 1 and 2 are false.	
26	Resources are becoming extinct as degradation surpasses the _____ capacity of the environment. (Choose the correct alternative) a) Carrying b) absorptive (c) assimilation d) regeneration OR United Nations General Assembly has enlisted a list of 17 Sustainable Development Goals (SDGs) to be achieved by 2030. Accordingly, SDG 7 is to "Ensure that everyone has access to enough, trustworthy, sustainable, and modern energy." _____ does not constitute a step toward achieving SDG 7. a) CNG b) solar energy c) thermal power d) mini-hydel plants	1
27	There are two statements given below, marked as Statement (1) and Statement (2). Read the statements and choose the correct option. Statement (1): The contribution of the industrial sector to the GVA in India and Pakistan is much lower than that of China. Statement (2): India and Pakistan are directly moving from agriculture to services. a) Statement 1 is true and Statement 2 is false. b) Statement 1 is false and Statement 2 is true. c) Both statements 1 and 2 are true d) Both statements 1 and 2 are false	1
28	In order to understand the complexities of the industrial sector in India on the eve of independence, elaborate on the prevailing conditions that contributed to "Systematic de-industrialization" and technological backwardness. OR Analyze the complex challenges posed by India's foreign trade situation on the eve of independence. Investigate the factors that	3

	led to the trade imbalances and dependence on imports during this period.																																											
29	'Kudumbashree' is a woman-oriented community-based poverty reduction programme being implemented in Kerala. In 1995, a thrift and credit society was started as a small savings bank for poor women with the objective to encourage savings. The thrift and credit society mobilised ₹1 crore as thrift savings. These societies have been acclaimed as the largest informal banks in Asia in terms of participation and savings mobilised. Source: www.kudumbashree.com, NCERT Based on this passage, Discuss the role of Self-Help Groups (SHGs) in meeting the credit requirements of the poor. Or Give a thorough analysis of four primary obstacles encountered by rural banking establishments when fostering financial inclusion and driving economic growth within a developing nation..	3																																										
30	(a) Define sustainable development. (b) Everyone has a moral obligation to promote sustainable development. Do you agree with the given statement? Justify your answer with a valid argument.	4																																										
31	State four measures that a government in a developing country can implement to enhance the efficiency and effectiveness of the agricultural marketing system.	4																																										
32	On the basis of the data given below, discuss the shift in output and employment sectorwise, in India and China: Sectoral share of Employment and GVA (%) in 2018 – 2019 <table><tr><th>Sector</th><th colspan="3">Contribution to GVA</th><th colspan="3">Distribution of Workforce</th></tr><tr><th></th><th>India</th><th>China</th><th>Pakistan</th><th>India</th><th>China</th><th>Pakistan</th></tr><tr><td>Agriculture</td><td>16</td><td>7</td><td>24</td><td>43</td><td>26</td><td>41</td></tr><tr><td>Industry</td><td>30</td><td>41</td><td>19</td><td>25</td><td>28</td><td>24</td></tr><tr><td>Service</td><td>54</td><td>52</td><td>57</td><td>32</td><td>46</td><td>35</td></tr><tr><td>Total</td><td>100</td><td>100</td><td>100</td><td>100</td><td>100</td><td>100</td></tr></table>	Sector	Contribution to GVA			Distribution of Workforce				India	China	Pakistan	India	China	Pakistan	Agriculture	16	7	24	43	26	41	Industry	30	41	19	25	28	24	Service	54	52	57	32	46	35	Total	100	100	100	100	100	100	4
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	Source: Human Development Report 2019: Key Indicators of Asia and Pacific, 2019	
33	Read the passage given below and answer the questions that are followed. In the early 1980s, textile mills all over the country began to close down. In some places, such as Mumbai, the mills closed rapidly. In Ahmedabad, the process of closure was long drawn out and spread over 10 years. Over this period, approximately over 80,000 permanent workers and over 50,000 nonpermanent workers lost their jobs and were driven to the informal sector. The city experienced an economic recession and public disturbances, especially communal riots. A whole class of workers was thrown back from the middle class into the informal sector, into poverty. There was widespread alcoholism and suicides, and children were withdrawn from school and sent to work. (Source: NCERT) (a) How did the primary goals listed in the five-year plans aim to deal with the given crisis? (b) 'Recession and unemployment go hand in hand.' Explain the above statement in context to the given passage	6
34	Answer the questions. 3+3 a. "Kavya works on her family farm and is neither paid in cash nor in the form of grains." Can she be categorized as a worker? Give valid reasons in support of your answer. b. In the late 1990's India experienced a widening gap between the growth of GDP and employment generation. Discuss.	